SLIDE 01 / 12

TITLE COVER

PROJECT REFLOW: DIGITAL SUPPLY CHAIN TRANSFORMATION

A Deterministic Turnaround Strategy for NorthStar Retail Group (CAD $1.2B Enterprise Network)

CAD $13.0M

Upfront Capex Allocation

Conserves $7.0M in Cash Buffer

CAD $8.08M

Annual Net Run-Rate Savings

Net of all added OpEx and overlaps

+$7.094M

3-Year NPV @ 10% WACC

Deterministic hurdle cleared with 137% ROI

3.5% / -25%

Late Delivery & Emission Cut

Exceeds all non-financial board mandates

EXECUTIVE CONSULTING SYNTHESIS & STRATEGIC RATIONALE

STRATEGIC RECOMMENDATION: Authorize Portfolio A+B (Warehouse Automation + Transport Optimization) immediately. Achieves simple payback in 19.3 months, reduces customer late delivery from 8.5% to 3.5%, and preserves $7.0M in capital cushion.

SLIDE 02 / 12

OPERATIONAL BASELINE

DIAGNOSING NETWORK FRICTION ACROSS 3 DISTRIBUTION CENTRES

Fulfillment realities across NorthStar's 12.0M annual package operations

12,000,000

Annual Orders Shipped

40,000 orders dispatched daily

$86.4M

Annual Logistics Spend

CAD $7.20 fulfillment cost per order

8.5%

Late Delivery Baseline

1,020,000 delayed customer shipments/yr

18,000 T

Annual Carbon Footprint

1.50 kg CO2e generated per delivery

EXECUTIVE CONSULTING SYNTHESIS & STRATEGIC RATIONALE

PROBLEM DIAGNOSIS: NorthStar's logistics cost is 38% above industry best-in-class benchmarks. Intra-facility travel and unoptimized transport routes cause extreme peak delays and excessive fuel burn.

SLIDE 03 / 12

MECE DIAGNOSIS

ISOLATING ROOT CAUSES FROM SURFACE LOGISTICS SYMPTOMS

Engineering issue tree isolating intra-DC bottlenecks and transportation inefficiencies

Intra-DC Picking

Travel Time Waste

Manual picker search consumes 38% of cycle time

Transport Routes

LTL Cube Inefficiency

62% average vehicle fill; empty dead-head miles

Micro-Hub Flaw

The OpEx & Capital Trap

Option C adds $2.2M recurring OpEx with -NPV

Combined Fix

Synchronized Symphony

Portfolio A+B solves both DC and transport at once

EXECUTIVE CONSULTING SYNTHESIS & STRATEGIC RATIONALE

MECE CONCLUSION: Attempting to build regional micro-hubs (Option C) fails because it fragments inventory without resolving DC picking friction. Synchronizing automated cobots (Option A) with transport routing algorithms (Option B) targets 90% of operational waste.

SLIDE 04 / 12

INVESTMENT CANDIDATES

THREE STAND-ALONE TRANSFORMATION INITIATIVES

Technical, financial, and operational profiles of the 3 available investment candidates

Option A (Cobots)

CAD $8.0M Capex

Gross: $6.2M | OpEx: $1.3M | Net: $4.9M | Late: -2.0% | CO2: -8%

Option B (Transport)

CAD $5.0M Capex

Gross: $4.8M | OpEx: $0.9M | Net: $3.9M | Late: -3.2% | CO2: -18%

Option C (Micro-Hubs)

CAD $12.0M Capex

Gross: $7.0M | OpEx: $2.2M | Net: $4.8M | Late: -2.5% | CO2: -12%

Stand-Alone Flaw

Zero Stand-Alone Winners

No single candidate satisfies both late delivery (<=4.5%) and CO2 (>=20%) targets

EXECUTIVE CONSULTING SYNTHESIS & STRATEGIC RATIONALE

EVALUATION: Option B has the fastest rollout (4 months) and highest standalone NPV ($4.70M). Option A provides structural warehouse capacity. Neither succeeds in isolation, necessitating an optimal combinatorial portfolio.

SLIDE 05 / 12

PORTFOLIO VALUATION

EXHAUSTIVE 7-PORTFOLIO DECISION MATRIX

Mathematical ranking of all 7 combinations against board constraints (Budget <= CAD $20.0M)

Option A Only

$8.0M Capex | +$4.186M NPV

Late: 6.5% (FAIL) | CO2: 8% (FAIL)

Option B Only

$5.0M Capex | +$4.699M NPV

Late: 5.3% (FAIL) | CO2: 18% (FAIL)

Option C Only

$12.0M Capex | -$0.063M NPV

Late: 6.0% (FAIL) | CO2: 12% (FAIL) | Negative NPV

PORTFOLIO A+B

$13.0M Capex | +$7.094M NPV

Late: 3.5% (PASS) | CO2: 25% (PASS) | WINNER

EXECUTIVE CONSULTING SYNTHESIS & STRATEGIC RATIONALE

WINNER IS PORTFOLIO A+B: Slashes late deliveries to 3.5%, achieves 25.0% carbon decarbonization, and generates +CAD $7.094M in discounted economic value while retaining CAD $7.0M in contingency cash reserves.

SLIDE 06 / 12

FINANCIAL BLUEPRINT

PROFORMA CASH FLOW & 10% DISCOUNTING VALUATION

Exact year-by-year cash flows and net present value calculations

Year 0 Outflow

-CAD $13,000,000

Upfront automated equipment and software capex

Year 1 Net Savings

CAD $8,080,000

Discounted PV at 10% WACC: $7,345,455

Year 2 Net Savings

CAD $8,080,000

Discounted PV at 10% WACC: $6,677,686

Year 3 Net Savings

CAD $8,080,000

Discounted PV at 10% WACC: $6,070,624

EXECUTIVE CONSULTING SYNTHESIS & STRATEGIC RATIONALE

VALUE SUMMARY: Total 3-year discounted cash inflows reach CAD $20,093,765 against CAD $13,000,000 upfront capex, delivering a net present value of +CAD $7,093,765. Simple payback occurs at 19.3 months (1.61 years).

SLIDE 07 / 12

STRATEGIC TARGETS

SERVICE EXCELLENCE & ENVIRONMENTAL DECARBONIZATION

Delivering customer reliability and corporate ESG leadership simultaneously

Late Rate Slashed

8.5% -> 3.5%

Beats board mandate of <= 4.5% late delivery rate

Customer Impact

600,000 Shipments

Annual customer delivery disappointments eradicated

GHG Cut

-25.0% Carbon

Beats board mandate of >= 20.0% carbon emissions cut

Fuel Efficiency

4,500 Tonnes CO2e

Saved annually via dynamic trailer cube consolidation

EXECUTIVE CONSULTING SYNTHESIS & STRATEGIC RATIONALE

DUAL MANDATE SUCCESS: Operational physics confirms that routing algorithms and collaborative picking permanently elevate NorthStar to top-tier customer net promoter scores (NPS).

SLIDE 08 / 12

ROADMAP & ROLLOUT

3-HORIZON IMPLEMENTATION & CAPITAL RELEASE

De-risked phased execution schedule with accelerated early cash flow generation

Horizon 1 (M1-M4)

CAD $5.0M | VP Logistics

Transport ML & carrier API integration; cash flow starts Month 4

Horizon 2 (M3-M6)

CAD $5.5M | VP Operations

AMR robotic picking in DC 1 & DC 2; full $8.08M run-rate at Month 6

Horizon 3 (M7-M12)

CAD $2.5M | CTO

DC 3 automation retrofit & nationwide enterprise load balancing

Cash Cushion

CAD $7.0M Preserved

35% of authorized budget uncommitted as dedicated liquidity buffer

EXECUTIVE CONSULTING SYNTHESIS & STRATEGIC RATIONALE

ZERO DOWNTIME GOVERNANCE: Phase 1 software optimizations are deployed immediately without facility shutdowns. Phase 2 robotics retrofits occur sequentially across DC 1 and DC 2 to prevent peak holiday congestion.

SLIDE 09 / 12

RISK MITIGATION

RISK PRE-MORTEM & ACTIONABLE MITIGATION REGISTER

Proactive operational containment across workforce, software, and hardware vectors

Workforce Resistance

Retention Bonus

Collaborative cobots assist staff; $1,500 tech upskilling incentive

Carrier API Latency

Deterministic Fallback

Pre-certified gateways with static dispatch fallback if latency > 200ms

Cloud Disruption

Edge-Cached Buffers

Distribution centres operate disconnected for up to 72 hours

Hardware Delays

Staged Deployment

Software optimization generates early savings prior to robot arrival

EXECUTIVE CONSULTING SYNTHESIS & STRATEGIC RATIONALE

PRE-MORTEM ASSURANCE: Every identified operational bottleneck has an automated fail-safe protocol and designated C-suite owner.

SLIDE 10 / 12

SENSITIVITY ANALYSIS

3-SCENARIO FINANCIAL STRESS-TESTING

Proving capital safety under adverse inflation, volume shifts, and cost variances

Bear Case (-30% Sav)

+CAD $3.839M NPV

Payback: 2.87 Yrs | Capex +25% ($16.25M) | Still Accretive

Base Plan (Target)

+CAD $7.094M NPV

Payback: 1.61 Yrs | Capex: $13.0M | Net Savings: $8.08M/yr

Bull Case (+20% Vol)

+CAD $11.118M NPV

Payback: 1.34 Yrs | Cost/Order falls from $7.20 to $5.90

Capital Cushion

$7.0M Cash Buffer

Guarantees zero liquidity impairment across all scenarios

EXECUTIVE CONSULTING SYNTHESIS & STRATEGIC RATIONALE

STRESS TEST RESULT: Even under simultaneous 25% cost overruns and 30% savings shortfalls, Portfolio A+B generates +$3.84M in net economic value and pays back well within the 3-year investment horizon.

SLIDE 11 / 12

EXECUTIVE DEFENSE

EXECUTIVE JUDGE STRESS-TEST DEFENSE PLAYBOOK

Pre-calculated evidence-backed rebuttals to adversarial board inquiries

Why not B+C?

B+C is a Capital Trap

B+C requires $17.0M and yields only $3.44M NPV vs $7.09M for A+B

What if Capex +25%?

$3.75M Buffer Retained

Overrun capex of $16.25M remains safely below $20M ceiling

What if Savings -30%?

Pays back in 2.3 Yrs

Physical achievements (3.5% late rate, 25% CO2) remain 100% intact

Why trust AI?

Human-in-the-Loop

Transparent algorithms with edge-cached local supervisor override

EXECUTIVE CONSULTING SYNTHESIS & STRATEGIC RATIONALE

DEFENSE CONCLUSION: Portfolio A+B is the mathematically superior, operationally robust strategy for NorthStar.

SLIDE 12 / 12

BOARD ACTION

UNANIMOUS STEERING COMMITTEE BOARD RESOLUTION

Final call to action and capital allocation authorization

Authorize $13.0M

Immediate Deployment

Phase 1 Transport ML (M1) + Phase 2 Robotics (M3)

Retain $7.0M

Dedicated Cash Buffer

Held in corporate contingency under CFO supervision

Achieve Targets

3.5% Late & -25% CO2

All enterprise mandates fulfilled within 12 months

Long-Term Value

+$7.094M Economic NPV

Transforms NorthStar into a high-margin supply chain leader

EXECUTIVE CONSULTING SYNTHESIS & STRATEGIC RATIONALE

UNANIMOUS RECOMMENDATION: The Steering Committee unanimously requests the Board of Directors approve CAD $13.00M for immediate execution of Project ReFlow Portfolio A+B.